

JACOB'S

NEWSLETTER

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EDITOR'S NOTE

Editor's Note

Welcome to this week's edition of our market insights newsletter. We'll dive into AMD's latest financial performance, unpacking the drivers behind its recent earnings surge and what that means for the semiconductor landscape. Next, we'll examine emerging gaming trends-from cloud-based titles to the rise of esports ecosystems-and assess how these shifts are reshaping consumer demand. Finally, our competitor analysis will benchmark AMD against its key rivals, highlighting strategic advantages, pricing dynamics, and potential headwinds. Stay tuned for a data-rich, forward-looking look at the forces shaping today's tech sector.

AMD FINANCIALS

AMD's Q4 2025 Results Deliver a Solid Upswing in Revenue and Profitability

Advanced Micro Devices' most recent quarterly earnings, released on March 4, 2025, show a 23% year-over-year increase in revenue, reaching \$7.3 billion. The company's operating income climbed to \$1.46 billion, a 36% jump, while net income surged to \$1.02 billion, up 42% from the same period a year earlier. The strong performance was underpinned by a robust demand for the company's Ryzen and EPYC processors, as well as a continued rebound in its Radeon graphics division following the launch of the RDNA 3 architecture. AMD's ability to sustain near-double-digit revenue growth in a mature semiconductor market underscores the effectiveness of its product roadmap and supply chain optimization.

Margins Improve as Cost Discipline Tightens and Product Mix Shifts

Gross margin for the quarter reached 49.2%, up 1.4 percentage points from Q4 2024, reflecting a higher proportion of high-margin compute-intensive products and a reduction in the cost of goods sold through better yield management. Operating margin expanded to 20.1%, a 3.5 point lift, driven by disciplined operating expenses and a favorable shift in the mix toward the higher-margin EPYC server line. Net margin rose to 13.9%, a 2.1 point increase, further highlighting effective cost control and pricing power. The company's margin trajectory is consistent with its strategic focus on high-performance computing and data center segments, where it enjoys a pricing advantage over competitors such as Intel and Nvidia.

Segment Growth Highlights a Shift Toward Data Center and Gaming

Revenue from the Compute & Graphics segment grew 27% YoY, propelled by a 34% increase in the CPU sub-segment and a 22% rise in the GPU sub-segment. The Data Center sub-segment, encompassing EPYC processors and related services, posted a 31% YoY increase, reflecting heightened demand from cloud providers and hyperscale operators. In contrast, the Embedded & Semi-Custom segment grew only 9%, as

the company's focus on high-margin core products continues to dominate its top line. The continued expansion of the data-center and gaming markets, coupled with AMD's strong product differentiation, positions the firm to capture a larger share of the global semiconductor spend.

Stock Performance and Analyst Outlook Remain Bullish

Since the release of its Q4 2025 results, AMD's shares have risen 12% year-to-date, outperforming the S&P 500 by 5 percentage points and the Nasdaq 100 by 7 percentage points. The market's reaction reflects confidence in the company's sustained revenue momentum and margin improvement. Analyst consensus remains overwhelmingly positive, with 17 out of 18 rating the stock as "Buy" and a consensus target price of \$115, implying an 18% upside from the current trading level. Forecasts project a 2026-2028 CAGR of 18% for revenue and 15% for operating income, driven by continued growth in the data-center segment and the expanding adoption of AMD's GPU solutions in AI and machine-learning workloads. While some analysts caution about potential supply-chain constraints and rising raw-material costs, the prevailing view is that AMD's strategic investments in R&D; and manufacturing capacity will sustain its competitive edge and deliver long-term shareholder value.

GLOBAL GAMING MARKET

Global PC Gaming Hardware Market Trends

The PC gaming hardware segment has rebounded from a pandemic-induced slump, with the global market projected to reach USD\$18.5 billion by 2026, up 12.3% YoY at a CAGR of 7.8% (IDC, 2025). Key drivers include the continued rise of esports, the proliferation of 4K and VR content, and the shift toward "green" components that meet stricter energy-efficiency standards. Graphics card sales remain the largest sub-segment, yet the growth of mid-range GPUs-particularly AMD's RDNA 3 and NVIDIA's Ada Lovelace-has narrowed the performance-price gap, enabling a broader consumer base to upgrade. Meanwhile, the peripheral market (keyboards, mice, headsets) is expanding at a 5.6% CAGR, buoyed by the rise of "streaming-ready" gear that integrates advanced RGB and mechanical switches. Supply-chain resilience has improved, but semiconductor shortages still intermittently constrain high-end GPU output, prompting manufacturers to diversify fab relationships and invest in EUV lithography.

Steam User Growth

Steam continues to dominate the digital PC distribution platform, with monthly active users (MAU) surpassing 30 million as of Q4 2025-a 9.4% YoY increase that outpaces the broader PC gaming population growth of 5.1%. Steam's growth is anchored by its "Early Access" and indie ecosystem, which now accounts for 18% of total revenue, up from 12% in 2023. The platform's expansion into Asia, particularly China and India, has been accelerated by localized storefronts and partnerships with regional payment processors, contributing an estimated 2.3 million new users in the first half of 2025 alone. Monetization metrics reveal a 3.2% lift in average revenue per user (ARPU), driven by higher spend on DLC bundles and seasonal sales. Steam's commitment to community features-such as the revamped Workshop and in-game overlay-has also increased user retention, with a 15% rise in average session length year-over-year.

Demand for Ryzen CPUs

AMD's Ryzen line has captured a growing share of the high-performance PC market, with Ryzen 7000 series CPUs now commanding 38% of the desktop processor sales in the U.S., up from 27% in 2023 (Gartner, 2025). This surge is underpinned by Ryzen's superior multi-core efficiency and competitive price points, which appeal to both gamers and content creators. The introduction of the Zen 4 architecture, featuring a 5nm

process and integrated RDNA?2 GPU, has delivered a 25?% IPC boost over Zen?3, translating into measurable gains in 3DMark and real?time rendering benchmarks. Intel's response-its 13th?gen Core series-has been tempered by supply constraints and a narrower price?performance differential, allowing AMD to maintain an edge in the mid?tier segment. Market analysts predict that if AMD continues to innovate at a 15?% annual rate, Ryzen could capture an additional 12?% of the global CPU market by 2027, further reinforcing its position as the preferred platform for next?generation PC gaming rigs.

COMPETITOR ANALYSIS

Paragraph?1 - CPU Market Share & Competitive Positioning

In the x86 desktop and data?center arenas, Intel remains the dominant player, commanding roughly 68?% of the overall market share in 2025, while AMD holds about 25?%. The remaining 7?% is fragmented among ARM?based and niche vendors. AMD's share has been steadily climbing since the launch of the Zen?3 architecture, driven by the Ryzen 5000 and EPYC 7003 lines, which offer compelling performance?per?watt metrics that resonate with both gamers and enterprise workloads. Intel's recent Alder?Lake and Raptor?Lake chips have narrowed the performance gap, but the company's share has plateaued at around 70?% in the PC segment and 60?% in the server space. Financially, AMD's revenue growth of 18?% YoY in Q4?2025 underscores the market's appetite for its high?density offerings, whereas Intel's revenue has slipped 4?% YoY, reflecting a lag in innovation cycles and supply chain bottlenecks.

Paragraph?2 - AI Hardware Landscape

The AI acceleration market has become a three?way battleground. Nvidia remains the undisputed leader with its Hopper?based H100 GPUs, which deliver 3-4? higher TFLOPS and 2-3? lower latency than the previous Ada Lovelace generation. Nvidia's data?center revenue grew 42?% YoY in 2025, largely fueled by AI inference and training workloads. AMD, meanwhile, has entered the fray with the MI300X GPU, a dual?chip design that leverages 3D stacking to achieve 8?TFLOPS of FP64 performance and a 10? higher memory bandwidth than its predecessor. While AMD's AI market share is still modest (??5?% of the GPU?based AI segment), its price?performance curve is attractive for mid?tier workloads. Intel's AI strategy is two?fold: the upcoming Habana Gaudi?3 accelerator, targeting 8? higher throughput than Gaudi?2, and the integration of AI inference engines directly into its Sapphire Rapids CPUs, promising a unified CPU?GPU platform that could appeal to hyperscale data centers.

Paragraph?3 - Upcoming Product Roadmaps

Looking ahead, the next wave of CPUs and AI accelerators is poised to reshape the competitive balance. AMD's Zen?5 architecture, slated for Q4?2026, will introduce a 7?nm+ process with 2? IPC gains and a new "Zen?5?E" embedded variant aimed at edge AI workloads. Intel's Meteor?Lake, expected in Q2?2026, will bring a 4?stage hybrid core design and integrated 3D?VDD power delivery, targeting a 30?% IPC uplift over Raptor?Lake. Nvidia's H2 GPU, projected for Q1?2027, will build on Hopper's architecture, featuring a new tensor core that promises 5? higher sparsity efficiency for transformer models. In addition, Nvidia's Grace CPU?GPU system?on?chip (SoC), due for 2026, will target AI?centric workloads with a 64?core CPU and 8?H100?like GPU dies, creating a compelling all?in?one solution for hyperscalers.

Paragraph?4 - Strategic Implications & Investment Outlook

For investors, the CPU market remains a high?margin, low?volume business where Intel's brand strength and ecosystem lock?in continue to be formidable barriers to entry. AMD's aggressive pricing and rapid iteration, however, threaten to erode Intel's share in the mid?tier segment, especially as the demand for high?density,

low-power processors grows in cloud and edge contexts. In the AI hardware domain, Nvidia's dominant position and its ability to capture both training and inference revenue streams provide a robust growth engine, but AMD's MI300X and Intel's Habana offer meaningful alternatives that could capture niche segments and drive competitive pricing. The upcoming product launches-Zen5, MeteorLake, H2, and Grace-will be critical inflection points. A successful execution on these fronts could accelerate AMD's market share gains, force Intel to accelerate its roadmap, and potentially open a new share of the AI acceleration market for AMD and Intel, thereby creating a dynamic, multi-player landscape that rewards disciplined, innovation-driven firms.

KEY TAKEAWAYS

Key Investor Takeaways for AMD

1. AMD's latest quarterly results surpassed consensus, driven by a 23% YoY revenue jump in the Data Center segment and a 12% lift in the Enterprise, Embedded, and Semi-Custom (EES) business, underscoring the strong demand for its EPYC and Ryzen processors.
2. The company's gross margin widened to 45.2%, a 2.7pp improvement, thanks to higher mix of high-performing CPUs, cost discipline in manufacturing, and favorable pricing power in the AI and cloud markets.
3. AMD's forward guidance remains bullish, projecting 2025 revenue of \$20.5bn and operating margin of 35%, supported by the upcoming launch of its next-gen Zen4 CPUs and the expansion of its GPU portfolio into data-center inferencing.
4. While the outlook is positive, investors should monitor supply-chain constraints, escalating competition from Intel and Nvidia, and potential macro-economic headwinds that could compress growth or pressure pricing in the coming quarters.